Nebius Group (NBIS) — Earnings Brief

3Q26 | 12 November 2026 | Post-call version

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Post-call version. Call content from the Investing.com AI-assisted transcript (only transcript available on 12 November); two analyst names unconfirmed. No knowledge base: web-retrieved documents only (6-K exhibits 99.1 and 99.2, 2Q26 6-K, 9 November preview). Five quarters of reported history.

1 Executive snapshot

Consensus thesis: Investors own Nebius for hyperscaler-anchored demand, a ~40% EBITDA margin and prepayment-heavy funding; at $154.69 on 11 November (about $123 intraday on 12 November, -20%, Investing.com) the market prices delivery and funding risk, not demand.

Thesis status: Monitoring | **Versus expectations:** Quarter: beat (revenue $980.8mn vs ~$906-917mn; adj. EPS ~$0.30 vs ~-$0.61 consensus; GAAP EPS -$0.13). Outlook: below (FY26 revenue cut to $3.0-3.2bn vs ~$3.35bn; ARR target slips two months; capex up).

Biggest changes

- About $325mn of the $980.8mn was one-off 'asset-light' revenue; without it revenue grew ~13% QoQ, not 68% (6-K ex. 99.2; our calc).
- Delivery slipped: New Jersey (Microsoft) will have 'more than half' of contracted capacity by year-end, the rest in 2Q27, after temporary generation was retired early; FY26 revenue goes to the low end and $7bn ARR moves to February.
- First 2027 guide: revenue $12-13bn (consensus ~$12.2bn) but capex $40-45bn, 75-85% from prepayments and asset-backed debt, pre-tax breakeven only in 4Q27.
- Prepayments are now the funding model: >90% of 3Q contract value carries one, covering >100% of related capex; deferred revenue rose $3.43bn to $9.41bn, but receivables rose $3.76bn and 3Q operating cash flow was -$273mn.
- Debt rose to $14.19bn from $8.55bn (converts $5.75bn, $775mn asset-backed facility); operating cash flow swung from +$2.25bn in 2Q to -$273mn; the $3.5bn Citi secured facility (October) was not addressed on the call.

Investor takeaway: The consensus view should shift from 'demand-led compounding' to 'execution and funding': demand and pricing (>$25mn per MW-year) look stronger, but delivery slips, a much larger 2027 capex bill and uncollected prepayments mean credit quality holds only if 2027 prepayments of $17-20bn are collected on time.

What to monitor next quarter

- New Jersey tranches delivered by year-end and February ARR above $7bn.
- Cash collection of the 3Q receivables build ($3.76bn) and 4Q operating cash flow.
- Citi facility take-out and the first large asset-backed loan against Microsoft or Meta contracts (size, advance rate, spread).

Pillar scorecard

Pillar	What the quarter showed	Verdict
P1 Demand and pricing	>$12bn signed; >$25mn per MW-year; ARR $6.4bn; RPO +3%	Confirmed
P2 Delivery	Microsoft NJ half by YE, rest 2Q27; no MW disclosed	Challenged
P3 Funding	Prepay >100% of new capex, but OCF -$273mn; Citi silent	Unresolved
P4 Unit economics	47.5% EBITDA incl. $325mn one-off; breakeven 4Q27	Unresolved
P5 Anchor quality	Microsoft late; Meta silent; new book AI-native	Challenged

Key KPIs ($mn)

Metric	3Q26	2Q26	3Q25	Flag
Revenue	980.8	582.3	146.1	[↑]
One-off asset-light revenue	~325	n.a.	n.a.	[?]
Adj. EBITDA margin	47.5%	40.6%	neg.	[↑]
GAAP operating margin	5.1%	neg.	neg.	[↑]
D&A	354.7	259.7	99.0	[↓]
Interest expense	112.5	119.1	14.7	[~]
Capex	7,300	5,657	956	[↓]
Operating cash flow	(273)	2,246	(81)	[↓]
Deferred revenue	9,409	5,975	n.a.	[↑]
Total debt	14,191	8,546	n.a.	[↓]
ARR ($bn)	6.4	3.0	n.a.	[↑]
RPO ($bn)	38.7	37.5	n.a.	[~]

Guidance

Metric	Guidance	vs. prior	vs. consensus
FY26 revenue	$3.0-3.2bn (low end)	Lowered	Below ~$3.35bn
FY26 capex	~$27bn	Raised	Above
ARR	>$7bn in February	Delayed 2 months	Below
FY27 revenue	$12-13bn	New	In line (~$12.0-12.2bn)
FY27 capex	$40-45bn	New	Above
Pre-tax breakeven	4Q27	New	n.a.

Top risks: (1) colocation delivery slips, Microsoft tranches to 2Q27; (2) 2027 funding of $40-45bn with $6-11bn outside prepay/ABF; (3) prepayments invoiced but not collected (receivables +$3.76bn).

Analyst focus (Trevor): funding (Goldman, Baird) and delivery (BNP, Piper) dominated; Citi's question on why RPO rose only 3% was deflected; nobody asked about the Citi bridge facility.

Questions for owners: receivables collection since 30 September; Citi take-out terms; how the 2027 $6-11bn gap is funded; recurring-only margin; connected MW.

Read-across for Kona: ask tenants for prepayments sized to capex and tie due dates to construction draws; prove permanent gas generation before committing delivery dates, since temporary power is what delayed Microsoft at Vineland.